than short-term revenue gains. The lack of transparency in the privatisation process is counter-productive and facilitates abuse. Often privatisation has become a way of enriching a minority, resulting in gains for private fronts. This exposes privatisation to political controversy. Privatisation should not simply imply transfer of rents from the public to the private sector. Privatisation should not result in a greater concentration of assets. Rather, the process of divestment of public equity must ensure greater competition through more dispersed ownership. Privatisation cannot be based on an unrealistic labour strategy. The 'golden handshake' should not exceed the sale value of the assets being privatized. The first requirement after privatisation of an enterprise is to retire a country's debt, and relieve future generation from this burden. Privatisation should not be carried through executive orders but through the Parliament and after an open debate which facilitates a consensus. Executive orders can be reversed and this creates uncertainty, often sub-optimal reaslisation of proceeds from privatisation.

The Eleventh Finance Commission (2000) has noted in its report that major structural reforms initiated in the nineties have virtually by-passed the PSUs. It points out that PSUs should be freed from the shackles of ministries, and their management has to be autonomous, professional, accountable, transparent and durable for a good length of time. It is important to note that the centre's efforts at privatisation of the PSUs have not gone beyond a fractional disinvestment of a few profit-making PSUs. There has been no uniformity of views either among the political parties or among the economists about the necessity for privatisation. "Contrary to popular supposition, neither the theory nor the empirical evidence on privatisation provides unqualified support for the belief that privatisation leads to outcomes superior to those under public ownership" (T T Ram Mohan, 2001).

Privatisation of public sector units has never been an easy task. Across the globe, countries have tackled the hurdles in very different ways. But their governments have weighed the good it could deliver with the odds it may bring and evened the two out amicably. The privatisation process entails a very careful analysis of specific circumstances including the specific setting of an enterprise and larger socio-economic context. All that can be done is to build and sustain pressure on the government to get out of activities with which it ought not to be involved, and concentrate on those with which it should, like education, health, the supply of drinking water and other essential services. Only then will a perspective emerge. The scales seem to tilt in favour of the disinvestment process, no matter how much is the protest from political and vested quarters. After all, disinvestment has not been an easy job for any country in the world. Privatisation is not an end in itself. It is a means of ensuring the efficiency of PSUs and the markets they operate in. Government may have the right intentions, but it needs a better method to accommodate the realities of a noisy political economy.

Check Your Progress 2

1) Trace the evolution of disinvestment policy in India.

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2) Highlight the problems associated with modes of disinvestment.

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3) Narrate the factors leading to success of Privatisation policy.

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8.8 PUBLIC PRIVATE PARTNERSHIP (PPP)

The expression PPP is a widely used concept world over but is often not clearly defined. There is no single accepted international definition of what a PPP is (World Bank, 2006). A public-private partnership, or P3, is a contract between a governmental body and a private entity, with the goal of providing some public benefit, either an asset or a service. Public-private partnerships typically are long-term and involve large corporations on the private side. A key element of these contracts is that the private party must take on a significant portion of the risk because the contractually specified remuneration – how much the private party receives for its participation – typically depends on performance. In the Indian context, the term PPP is used very loosely. According to the National Public Private Partnership Policy 2011, "a Public Private Partnership (PPP) means an arrangement between the government/statutory entity/government owned entity on one side and a private sector entity on the other, for the provision of public assets and/or public services, through investments being made and/or management being undertaken by the private sector entity, for a specified period of time, where there is well defined allocation of risk between the private sector and the public entity and the private entity receives performance linked payments that conform (or are benchmarked) to specified and pre-determined performance standards, measurable by the public entity or its representative".

Since the need for infrastructural development in India is on the rise, the public private partnership is the way to go forward as it provides innovation and diversity, higher productivity, efficient and cost-effective delivery of projects. Facing constraints on public resources and fiscal space has brought about renewed interest in PPP. With the announcement of industrial policy of July 1991, a new wave for PPP was felt and it was decided to allow private participation in the power sector which opened up the doors for independent power producers. The National Highways Act, 1956 was altered in 1995 to empower private support. In 1994, through a focused offering process, licenses were conceded to eight-cell cellular telephone utility administrators in four metro urban areas and 14 administrators in 18 state circles. The overarching objectives of such partnerships are:

i) Harness private sector efficiencies in asset creation, maintenance and service delivery;

ii) Provide focus on life cycle approach for development of a project, involving asset creation and maintenance over its life cycle;

iii) Create opportunities to bring in innovation and technological improvements; and,

iv) Enable affordable and improved services to the users in a responsible and sustainable manner.

In short, the main objectives of pursuing PPP model in India relate to the following:

i) Expansion and improved infrastructure

ii) Risk sharing.

iii) Optimum allocation of resources.

iv) Innovations.

v) Aid in growth of other sectors.

(vi) The catalyst for the economy.

vii) More employment generation.

viii) Improves the image of the country.

ix) Attract FDI.

PPP Cell under Department of Economic Affairs (DEA): For looking at various aspects of PPP, the PPP cell was set up in 2006 in the Department of Economic Affairs (DEA), Ministry of Finance which acts as the Secretariat for Public Private Partnership Appraisal Committee (PPPAC), Empowered Committee (EC), and Empowered Institution (EI) for the projects proposed for financial support through Viability Gap Fund (VGF). The PPP Cell is responsible for policy level matters concerning PPPs, including policies, schemes, programmes, model concession agreements and capacity building. The PPP Cell is also responsible for matters and proposals relating to clearance by PPPAC, scheme for financial support to PPPs in infrastructure (VGF Scheme) and India Infrastructure Project Development Fund (IIPDF).

Check Your Progress 3

1) Provide meaning of PPP.

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2) Explain the need for PPP in India?

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